

2. Emergency Funds

Ever faced an expense out of the blue that caught you off guard?

Unexpected Expenses

Urgent repair and maintenance of the house



Unexpected expenses come, well, unexpectedly,

and can easily put a dent in your finances, if you don't have a prepared plan to deal with them, they can lead to further financial distress.

 **Urgent Repair and Maintenance of House:** You find out that there is leakage in the plumbing system and it needs a complete overhaul. This is an unexpected expense, now you need to figure out how to pay for it without messing up your monthly budget.

 **Emergency hospitalization:** God forbid, but a loved one gets in a car accident and needs to be hospitalised. The ambulance takes them to the nearest hospital, but the hospital does not have cashless claim facilities. So, you'll have to pay for their treatment now, then file a claim with your insurance company for reimbursement, requiring you to pay a large sum of money.

 **Vehicle Breakdown:** Unexpectedly, your brakes stop working. Upon inspection, you discover that rodents have chewed away electric wires and brake lines. Unfortunately, insurance won't cover this, and you'll have to spend money out of your pocket.